

A \$500-billion Opportunity

With the right mix of vision, policy support, and investment, the affordable housing sector could unlock a growth story that addresses a critical human need

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THE 21ST CENTURY is facing one of the most pressing humanitarian crises in modern history: The Global Housing Shortage. The UN projects that by 2030 nearly 3 billion people—about 40% of the global population—will require access to new housing units. This staggering demand translates into a need for nearly 96,000 new affordable and accessible housing units every single day. Meeting this demand will require an estimated investment of \$3–4 trillion. This challenge transcends financial considerations and is both a moral imperative and a social obligation.

The scale of this crisis presents a unique and multi-decadal investment opportunity that could redefine the global real estate landscape, particularly in India. The housing shortage of 35 million units by 2030 in urban India highlights the pressing need to improve supply of housing units across the country. With a demographic sweet spot and a large working-age population, India is well-positioned to capitalise on its demographic dividend for the



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next 30 years. As young professionals seek homes of their own, even if just a quarter of India's population aged between 25 and 35 were to seek new houses, the country would need to construct approximately 50 million new homes. Currently, the supply meets only about 1% of this demand.

Despite this clear opportunity, affordable housing in India remains underdeveloped, primarily on account of supply-side challenges. Affordable housing goes much beyond just providing low-cost homes; it involves creating a social ecosystem where communities can thrive.

Historically, high land costs have made development of affordable housing challenging for developers. Thanks to the massive mobilisation of infrastructure investments over the last decade, land parcels considered remote earlier have become connected to cities and are available at attractive prices in desirable locations, making the development of affordable and middle-income housing more appealing to developers. Additionally, policy interventions by certain state governments have helped support the supply of affordable housing. For instance, the Haryana government's Affordable Housing Policy 2013, which mandated a certain percentage of land for affordable housing and provides incentives to developers, has been a resounding success.

Another big issue has been the